



Fed weighs rate cuts, citing a soft job market

Powell’s remarks spark a rally, but risk of inflation means moving ‘carefully’

BY ANDREW ACKERMAN

JACKSON HOLE, WYOMING — Federal Reserve Chair Jerome H. Powell said on Friday that a slowing job market “may warrant” interest rate cuts in the future, but he also warned that President Donald Trump’s trade policies still threaten to push inflation higher.

Powell, delivering his final keynote at the central bank’s marquee economic conference here, stopped short of outlining the possible timing for cuts, though Trump has been pushing the Fed — which guards its independence carefully — to act for months. Inflation risks are still running high, while the job market shows signs of softening — “a challenging situation,” Powell acknowledged.

“The baseline outlook and the shifting balance of risks may warrant adjusting our policy stance,” Powell said at an event hosted by the Kansas City Fed, where central bank officials and global central bankers gave Powell a standing ovation as he began his remarks.

U.S. markets rallied on the prospect of a rate cut, with all three major stock indexes climbing more than 1.5 percent by the end of trading. The Dow Jones Industrial Average closed at a new record high.

Powell added that the Fed could afford to proceed “carefully” since the job market, while softening, has seen generally stable unemployment rates and other labor market indicators. The bank’s next meeting is in mid-September.

Even if the Fed trims borrowing costs this fall, Powell suggested that more cuts may not follow quickly, signaling that the “neutral” rate — at which Fed policy neither stimulates nor restricts

SEE POWELL ON A13

Maxwell told DOJ Trump never acted improperly

BY PERRY STEIN, JEREMY ROEBUCK AND THEODORIC MEYER

Jeffrey Epstein’s imprisoned associate Ghislaine Maxwell told the Justice Department in an interview last month that she admired President Donald Trump and never observed him receiving massages or acting inappropriately, according to transcripts released Friday.

“I never witnessed the president in any inappropriate setting in any way. The president was never inappropriate with anybody in the times that I was with him. He was a gentleman in all respects,” Maxwell told Deputy Attorney General Todd Blanche during two days of interviews in Tallahassee, where she had been serving a 20-year sentence for sex trafficking.

Early in the interview, Blanche asked Maxwell about her and Epstein’s relationships with Trump. Maxwell said she was friendly with the president and admired him from the time she met him in the 1990s.

“President Trump was always very cordial and very kind to me,”

SEE MAXWELL ON A6



On migration, Greece takes a Trumpian turn

BY ANTHONY FAIOLA, ELINDA LABROPOULOU AND MOHAMAD EL CHAMAA IN AMYGDALEZA, GREECE

CLOCKWISE FROM TOP LEFT: Yiahle, a 23-year-old from Egypt, came to Greece by boat when he was 16. The Aegean Sea off Crete, an island that has seen a surge in arrivals. Eleni Zervoudaki, a liaison to a migrant camp on Crete. The Amygdaleza prison.



PHOTOS BY ILIR TSOUKO/ FOR THE WASHINGTON POST

Decrying an “invasion” of migrants — and praising the crackdown in the United States under President Donald Trump — Greek authorities are unfurling one of the most radical plans in Europe to stamp out unauthorized arrivals.

The new Greek “model” is playing out behind a 10-foot fence topped with barbed wire on the edge of metropolitan Athens, where imprisoned migrants describe conditions befitting an Aegean Alcatraz. Black-clad guards patrol the perimeter of the detention center here, where migrants recently rescued at sea are treated like criminals, according to human rights lawyers.

As Greece acts to halt an uptick in unauthorized arrivals, called irregular migration in Europe, Latin America and elsewhere, migrants landing from the North African coast without authorization since mid-July have faced summary incarceration during a three-month suspension of the right to asylum, a period that authorities say could be extended and that critics call a violation of

SEE GREECE ON A11

Under tightening federal grip, officers say their chief is absent

Pamela A. Smith faces criticism from within D.C. police amid the pressure of Trump’s partial takeover

BY EMILY DAVIES, JENNY GATHRIGHT, MEAGAN FLYNN AND EMMA UBER

D.C. Police Chief Pamela A. Smith walked into the Seventh District station Tuesday night to take questions from rank-and-file officers for the first time since President Donald Trump seized control of her department.

Many officers hoped that Smith, after more than a week of near silence, was there to make clear she was still their boss and not subordinate to the White House.

Instead, Smith was soon joined by a cadre of Trump administration officials, including White House Deputy Chief of Staff Ste-



ROD LAMKEY/AP

D.C. Police Chief Pamela A. Smith at an event Wednesday. Amid internal criticism, Smith said she remained engaged with her staff.

phen Miller and Drug Enforcement Administration head Terry Cole, the man whom Trump had named to displace her. The meeting further muddled the chain of command, officers said in interviews, as D.C. police struggled to understand who, if anyone, was in charge.

“Everyone is still wondering who the chief is,” said one D.C. police officer, who, like others, spoke on the condition of anonymity to avoid professional retribution, “because it doesn’t appear to be her.”

This account of a department in turmoil is based on interviews

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Bolton targeted in FBI searches

PROBE CENTERS ON CLASSIFIED DATA

Ex-adviser became one of Trump’s fiercest critics

BY JEREMY ROEBUCK, PERRY STEIN, AZI PAYBARAH AND LATESHIA BEACHUM

FBI agents on Friday searched the Washington-area home and office of former Trump administration national security adviser John Bolton as part of an investigation into whether he illegally possessed or shared classified information, according to multiple law enforcement officials familiar with the matter.

Those officials, who spoke on the condition of anonymity because they were not authorized to discuss the probe, said the investigation focused on allegations the Justice Department previously pursued during President Donald Trump’s first term that Bolton divulged classified government material in his 2020 book. Another person familiar with the current inquiry said its scope extended beyond that long-dormant probe to include other, more long-running accusations that Bolton had leaked sensitive materials.

Bolton, a veteran diplomat and security expert who has more recently emerged as one of the president’s fiercest critics, was not at home at the time and has not been charged with a crime, the people familiar said. He and his attorney did not return calls seeking comment.

Trump, speaking to reporters in Washington, said he had no

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Military: Hegseth fired the head of the Defense Intelligence Agency. A7

Abrego freed, but ICE seeks to deport him to Uganda

BY MARIA SACCHETTI AND JEREMY ROEBUCK

Kilmar Abrego García, the Maryland man illegally deported to his native El Salvador, has been released while awaiting trial on human smuggling charges, his attorney said Friday, a blow to the Trump administration, which had promised that he would “never go free” in the United States again.

Federal officials obeyed a pair of court orders to release Abrego from jail in Tennessee, where he is accused of smuggling migrants based on a 2022 traffic stop in that state, and allow him to return to Maryland with orders to wear a GPS tracking device. He has pleaded not guilty in the criminal case.

However, soon after his release, U.S. Immigration and Customs Enforcement notified Abrego that he could be deported to Uganda as soon as next week, according to two people with direct knowledge of the information. He was also ordered to check in Monday at a local ICE office. A federal judge in Maryland previously ordered immigration officers to give Abrego

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